

The diamond bottom (right diamond) shows a similar situation. Price makes a steep drop into the pattern and soars back out in a similar trend. The stock stops climbing near the launch point (shown as the “Expected Rise”).

Wait for breakout. Before you invest in a stock showing a chart pattern, wait for the breakout. Since diamonds can break out either up or down, you cannot predict the breakout direction with certainty. Thus, wait for the breakout—a close outside the pattern boundary—before taking a position. Yes, premature breakouts do occur, but they are rare. A premature breakout happens when price closes outside the diamond boundary but returns in a day or two. In the 288 diamonds I looked at, I found fewer than a dozen with premature breakouts.

Busted trade. Downward breakouts that single bust show good gains. See [Table 23.9](#) for more information.

[Table 23.11](#) shows a table for diagonal diamonds. The name comes from an article in *Technical Analysis of Stocks & Commodities* magazine, November 2018, by Igor R. Toshchakov. [Figure 23.6](#) shows a simplified drawing of his examples. Let's discuss the patterns before I talk numbers.

Look at AB, a diamond pattern he calls a single diagonal, where the top and bottom are connected by the longest trend in the pattern. It's a diamond pattern (yes, I could have drawn it better, so pretend it's a good-looking diamond), but the bottom (B) appears before the top (A). He says that this combination indicates the breakout will be downward.

Pattern CD is another single-diagonal diamond except the top (C) comes before the bottom (D). The predicted breakout direction from this pattern is upward.

The right portion of the figure shows two-diagonal diamond shapes. Instead of one long trend connecting the top and bottom of the pattern, we see two equal or nearly equal lengths connecting the top and bottom. Two diagonals tend to be a bit squatter looking on the side with two touches (FG and IJ), so there's a bit of a difference between single- and two-diagonal shapes, making it easier to determine which is which.